

Inventory Costing Methods Explained: LIFO, FIFO, and Weighted Average | by Muhammad Nadeem | Medium

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Inventory Costing Methods Explained: LIFO, FIFO, and Weighted Average Inventory costing is an important concept in accounting that every business student needs to understand. Therefore, inventory valuation methods are used to figure out the cost inventory has and it also has a significant impact on the valuation of ending inventory, cost of goods sold, and gross profit on the income statement. So today, I am going to share with you the three most common inventory costing methods — LIFO, FIFO, and Weighted Average. But before heading toward costing methods, there are some basics to be clarified about inventory costing. So, What is Inventory Costing? In the First Place Inventory costing refers to the method a company uses to assign costs to the units held in inventory. Since inventory is purchased at different times and different prices, the costing method determines which costs are matched with revenues to calculate cost of goods sold and gross margin. Why Does Inventory Costing even Matter? The selected inventory costing method impacts directly to the balance sheet and income statement. It determines the value of inventory assets and also affects the calculation of cost of goods sold and gross profit for the period. This in turn impacts net income and taxation. The Three Main Inventory Costing Methods There are three primary costing methods used for periodic and perpetual inventory systems: 1. FIFO: First-In, First-Out The FIFO inventory valuation method assumes that the oldest inventory units purchased are sold first. Inventory value reflects the costs of the most recent purchases. Cost of goods sold is calculated using costs of the oldest units. Results in higher net income and higher inventory asset value. 2. LIFO: Last-In, First-Out The LIFO method assumes that the most recent inventory purchases are sold first. Inventory value reflects the costs of the oldest purchases. Cost of goods sold uses costs of most recent purchases. Results in lower net income and lower inventory asset value. 3. Weighted Average Cost The weighted average cost method averages the cost of units available for sale. Inventory value and cost of goods sold are based on the weighted average cost per unit. Results in moderate net income and inventory valuation. When to Use Each Inventory Costing Method FIFO is simple to apply and matches current revenues with oldest costs. It is commonly used by retailers. LIFO better matches current revenues with current costs. It is utilized to reduce taxable income. Weighted average is easy to understand and smooths out fluctuations in inventory costing. Example LIFO Inventory Costing Problem Let's apply the LIFO method to solve an inventory costing problem. Rana Furniture Factory had the following lumber inventory transactions in June: June 1: Beginning inventory of 5 units at \$16 per unit June 5: Purchased 13 units at \$20 per unit June 19: Sold 9 units June 23: Purchased 8 units at \$18 per unit June 30: Sold 12 units Determine the ending cost of inventory on June 30 using the LIFO perpetual inventory method. Solution: Beginning inventory on June 1 = 5 units at \$16 per unit = \$80 Purchase on June 5 of 13 units at \$20 per unit = \$260 Sale on June 19 of 9 units removed from latest purchase: 9 units removed at \$20 per unit = \$180 Remaining inventory is $13 - 9 = 4$ units at \$20 per unit = \$80 Purchase on June 23 of 8 units at \$18 per unit = \$144 Total inventory = 4 units at \$20 per unit + 8 units at \$18 per unit = \$80 + \$144 = \$224 Sale on June 30 of 12 units removed the latest 8 units at \$18 and 4 units at \$20 8 units removed at \$18 per unit = \$144 4 units removed at \$20 per unit = \$80 Remaining inventory is 0 units Ending inventory on June 30 is 0 units Using the LIFO perpetual method demonstrates the flow of inventory costs and allows us to arrive at the accurate ending inventory valuation. I hope this article helped explain the key concepts behind inventory costing! Let me know if you have any other questions.